

PLANET FITNESS CEO MEETING

OPEN WITH THIS

Manny, every Planet Fitness club already has your members; what none of them has is a **reason to come on the nights they would otherwise skip**. We want to give you that: Golfzon golf bays, the world's biggest commercial indoor golf network, in your clubs, booked like padel. Members play friends across your clubs and around the world, take lessons from Leadbetter coaches, get instant swing analysis, and their kids get their own junior tour. It costs Planet Fitness nothing: we buy the bays on asset finance and run them, and you take **20% of every rand, about R14 million a year** at maturity. We start with two bays in Sandton in 2027 and put the zone in the drawings of every club you open after that.

THE ASK

72 Golfzon bays in 42 clubs, 2027–2029. We buy and operate on RMB asset finance; Planet Fitness gives the room and members, takes 20% of bay revenue, no capex. Leave with a **Sandton pilot agreed**, club and room specs, and a named ops lead.

THE NUMBERS (BASE CASE)

R63.7M LANDED CAPEX	R13.7M TO PF A YEAR, 2031	R39.5M EBITDA 2031 (56%)	2.58X DEBT COVER (1.65X LOW)
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Phase 1, 2027: 20 Signature bays, 10 clubs

Phase 2, 2028: 40 Play bays, 20 clubs

Phase 3, 2029: 12 bays, 12 clubs

Debt 90% / our equity **R57.4m / R6.4m**

PF share at 15% / 20% / 25% **R10.2 / 13.7 / 17.1m**

- Golfzon (CEO Sean Pyun) sent its proposal 1 Oct, after the 29 Sep call
- Per sim, units 1–40: Motion Plate \$43k, Dual \$35k, Basic \$30k. Cheaper from unit 41. Software \$99/month. Shipping, duties, booth extra
- Capex was R70.8m; model now on real prices, units 1–40 throughout
- With Virgin Active: 272 bays combined

COMMUNITY BENEFITS FOR MEMBERS

- Golfzon Tour:** 130+ venues, 15 countries, \$300k purse; winners can earn exemptions into GTour, China Open, CityGolf
- Network Play:** live play with friends, club to club and worldwide, with video chat
- Monthly Challenges:** Golfzon-funded prizes (e.g. Pebble Beach, US Open access)
- Inter-club league and championship:** run by a Golfzon Competitions Director*
- Golfzon Global App:** book, track progress, invite friends
- Real-time swing analysis:** HD cameras, instant feedback; Motion Plate adds stance sensing
- Kids club:** Leadbetter Junior Tour, under-18s, six age divisions, winners train with David Leadbetter
- Leadbetter Connect:** live lessons from certified coaches via the sim; fills off-peak
- Get Lucky Hole-in-One Challenge:** paid-entry insured shot live from day one, Santam-underwritten prizes; plus leagues and corporate days

WHY THEY SAY YES

- R14m a year, zero capex, no operating burden
- Members already book time for a game (padel)
- Two founders decide: Manny Rivera, Mannee de Wet
- About 5 new clubs a year: zone goes in every drawing
- South African, founder-led

ASK THEM

- Which 2–3 clubs for the pilot, and what rooms exist?
- Real member counts and peak hours
- Concession norms: share, term, exit
- Who is their ops lead?
- Brand rules on "Planet Golf"?

LIKELY PUSHBACK

- Floor space earns money:** separate room, they get 20%, pilot at 2 clubs first
- What if it fails:** we carry capex and risk, remove at our cost
- Why 20%:** opening position; can go to 25% and still cover debt at 2.36x
- Service:** Golfzon plus a local technician; SA service not yet confirmed

Watch out. Don't share Golfzon's prices or decks (no third-party sharing without consent). Golfzon hasn't given warranty, payment terms, lead times or a pilot date: promise no dates. Ernie Els: "advanced talks, confidential"; nothing signed, no terms. 3,500 members per club is our assumption: ask for the real number. *Championship was written for Virgin Active; we would ask for the same here. Benefits are Golfzon's claims.